

Fujikura (5803.T)

1Q beat/guidance up sharply: Large contributions from optical components; visibility on continuity is low, but profits building despite input shortages; raise GSe and reiterate Buy

5803.T

12m Price Target: ¥7,600

Price: ¥5,185

Upside: 46.6%

 **BUY**
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Fujikura reported 1Q results at 14:00 on August 7. Sales came to ¥402 bn and operating profits were ¥104.8 bn, coming in well above our estimates (sales of ¥365.5 bn and operating profits of ¥79.6 bn). The OPM was 26.1%, representing a sharp improvement versus 15.3% in 1Q3/26 and 14.2% in 4Q. The telecommunication systems OPM expanded significantly, to 37.0% (versus 23.6% in 1Q3/26 and 20.4% in 4Q). Fujikura revised its full-year sales/operating profit guidance up sharply, to ¥1.755 tn/¥432.0 bn from ¥1.462 tn/¥310.0 bn (up 20.0% for sales and 39.4% for operating profits versus the June 18 disclosure).

The biggest driver of 1Q results and the upward revision to guidance was optical components for a data center project outside the US, with these components also boosting profit margins given their meeting of short delivery times and being unaffected by US tariffs.

In our view, this project demonstrates the strong business acumen of the current management team in nimbly securing profit-accumulating projects even amid constraints such as optical fiber and hydrogen shortages. However, the company also describes the project as unexpected, and visibility on additional projects or continuity from FY3/28 is low at this point.

Reflecting the results, we revise up our operating profit estimate for FY3/27 by 31%. Given the uncertainty over the continuity of large-scale projects from FY3/28 onward, we raise our FY3/28-FY3/29 estimates by just 2%/2%. With this, we lift our 12-month target price to ¥7,600 from ¥7,500. We reiterate our Buy rating, given significant upside potential. The stock closed up 13% dod (vs. TOPIX +0%).

Earnings highlights

Telecommunication systems: 1Q sales/operating profits were ¥264.4 bn/¥98.0 bn (GSe ¥246.0 bn/¥75.0 bn).

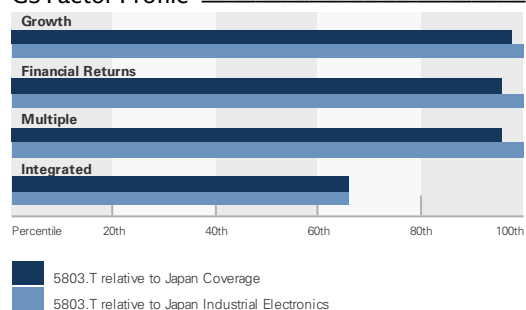
Key Data

Market cap: ¥8.6tr / \$54.3bn
Enterprise value: ¥8.5tr / \$53.5bn
3m ADTV: ¥296.1bn / \$1.9bn
Japan
Japan Industrial Electronics
M&A Rank: 3
Leases incl. in net debt & EV?: Yes

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	1,182.4	1,761.2	1,963.0	2,352.2
Op. profit (¥ bn) New	188.7	449.0	444.8	600.4
Op. profit (¥ bn) Old	188.7	342.8	438.1	589.5
Op. profit CoE (¥ bn)	195.0	432.0	—	—
EPS (¥) New	94.9	212.3	214.6	296.0
EPS (¥) Old	94.9	161.0	211.2	290.5
P/E (X)	24.9	24.4	24.2	17.5
P/B (X)	8.6	11.2	9.7	8.0
CROCI (%)	17.1	33.4	31.2	36.8
	6/26	9/26E	12/26E	3/27E
EPS (¥)	48.6	49.0	53.2	61.5

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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BUY

Fujikura (5803.T)

Rating since Dec 6, 2022

Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	24.9	24.4	24.2	17.5
P/B (X)	8.6	11.2	9.7	8.0
FCF yield (%)	2.4	2.1	2.8	4.4
EV/EBITDAR (X)	17.9	17.7	17.0	12.4
EV/EBITDA (excl. leases) (X)	17.9	17.7	17.0	12.4
CROCI (%)	17.1	33.4	31.2	36.8
ROE (%)	32.5	53.0	42.6	49.6
Net debt/equity (%)	(13.4)	(14.4)	(11.0)	(13.4)
Net debt/equity (excl. leases) (%)	(13.4)	(14.4)	(11.0)	(13.4)
Interest cover (X)	54.1	69.1	68.4	222.4
Days inventory outst, sales	51.1	43.8	46.6	44.6
Receivable days	63.6	55.1	59.1	55.8
Days payable outstanding	49.7	56.2	63.2	64.0
DuPont ROE (%)	26.5	44.0	38.6	44.3
Turnover (X)	1.2	1.4	1.4	1.5
Leverage (X)	1.6	1.6	1.6	1.5
Gross cash invested (ex cash) (¥)	1,121.9	1,219.0	1,366.2	1,520.8
Average capital employed (¥)	463.6	598.9	743.0	860.1
BVPS (¥)	273.3	462.8	535.2	647.0

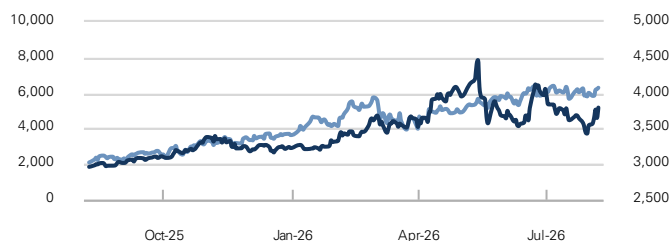
Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	20.7	49.0	11.5	19.8
EBITDA growth	36.1	124.3	2.3	33.6
EPS growth	72.4	123.6	1.1	38.0
DPS growth	125.0	73.3	38.5	33.3
EBIT margin	16.0	25.5	22.7	25.5
EBITDA margin	18.1	27.2	25.0	27.8
Net income margin	13.3	20.0	17.7	20.0

Price Performance

5803.T (¥)

TOPIX



	3m	6m	12m
Absolute	(20.2)%	38.9%	170.3%
Rel. to the TOPIX	(24.8)%	26.1%	98.2%

Source: FactSet. Price as of 7 Aug 2026 close.

Income Statement (¥ bn)

	3/26	3/27E	3/28E	3/29E
Total revenue	1,182.4	1,761.2	1,963.0	2,352.2
Cost of goods sold	(850.1)	(1,083.3)	(1,263.0)	(1,446.0)
SG&A	(127.0)	(211.0)	(237.2)	(287.8)
R&D	(16.6)	(18.0)	(18.0)	(18.0)
Other operating inc./exp.)	—	—	—	—
EBITDA	213.6	479.0	490.1	654.6
Depreciation & amortization	(24.9)	(30.0)	(45.3)	(54.2)
EBIT	188.7	449.0	444.8	600.4
Net interest inc./exp.)	5.1	(6.3)	(6.3)	(2.5)
Income/(loss) from associates	—	—	—	—
Pre-tax profit	204.6	445.4	441.2	594.0
Provision for taxes	(42.6)	(89.1)	(88.2)	(118.8)
Minority interest	(4.9)	(4.9)	(4.9)	(4.9)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	157.2	351.4	348.1	470.4
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	157.2	351.4	348.1	470.4
EPS (basic, pre-exception) (¥)	94.9	212.3	214.6	296.0
EPS (diluted, pre-exception) (¥)	94.9	212.3	214.6	296.0
EPS (basic, post-exception) (¥)	94.9	212.3	214.6	296.0
EPS (diluted, post-exception) (¥)	94.9	212.3	214.6	296.0
DPS (¥)	37.5	65.0	90.0	120.0
Div. payout ratio (%)	39.5	30.6	41.9	40.5

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	181.2	252.1	226.7	243.6
Accounts receivable	223.9	308.2	327.2	392.0
Inventory	183.8	239.2	261.7	313.6
Other current assets	68.7	68.7	68.7	68.7
Total current assets	657.6	868.2	884.3	1,017.9
Net PP&E	196.9	311.9	411.6	457.4
Net intangibles	18.1	18.1	18.1	18.1
Total investments	77.8	77.8	77.8	77.8
Other long-term assets	19.2	15.3	15.3	15.3
Total assets	969.5	1,291.2	1,407.0	1,586.4
Accounts payable	126.8	206.9	230.7	276.4
Short-term debt	34.7	77.0	77.0	71.0
Short-term lease liabilities	—	—	—	—
Other current liabilities	116.4	116.4	116.4	116.4
Total current liabilities	277.9	400.4	424.1	463.8
Long-term debt	66.9	60.3	50.3	30.3
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	31.5	31.5	31.5	31.5
Total long-term liabilities	98.3	91.7	81.7	61.7
Total liabilities	376.3	492.1	505.8	525.5
Preferred shares	—	—	—	—
Total common equity	560.4	766.3	868.3	1,028.0
Minority interest	32.8	32.8	32.8	32.8
Total liabilities & equity	969.5	1,291.2	1,407.0	1,586.4
Net debt, adjusted	(79.6)	(114.8)	(99.5)	(142.3)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	204.6	445.4	441.2	594.0
D&A add-back	24.9	30.0	45.3	54.2
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	(50.6)	(59.6)	(17.7)	(71.0)
Other operating cash flow	(46.0)	(89.1)	(88.2)	(118.8)
Cash flow from operations	132.9	326.7	380.5	458.4
Capital expenditures	(40.3)	(145.0)	(145.0)	(100.0)
Acquisitions	0.2	—	—	—
Divestitures	—	—	—	—
Others	3.9	—	—	—
Cash flow from investing	(36.2)	(145.0)	(145.0)	(100.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(44.6)	(107.6)	(146.0)	(190.7)
Inc/(dec) in debt	(62.9)	35.6	(10.0)	(26.0)
Other financing cash flows	7.0	(38.9)	(104.9)	(124.9)
Cash flow from financing	(100.5)	(110.9)	(260.9)	(341.6)
Total cash flow	(3.8)	70.9	(25.4)	16.8
Free cash flow	92.6	181.7	235.5	358.4

Source: Company data, Goldman Sachs Research estimates.

Optical component products (connector-equipped cables, patch cords, cabinets, patch panels, splice cassettes, etc.) for a new data center project outside the US (likely in the Asia region based on regional sales disclosures) contributed. As a result of being able to meet requests for short-notice supply, the project was also impactful in terms of pricing. Compared to the upward revision on June 18, the contribution of this project has grown in scale, and the likelihood of it continuing into 2H has increased, making it the main factor behind the full-year upward revision. Profitability was also boosted by the fact that it is a non-US project and therefore unaffected by US tariffs.

Price hikes and product mix improvements resulted in a ¥23.4 bn yoy positive impact on profits. Fujikura noted cases where price hikes of around 25% for the same product were accepted by some customers and for some product types.

Regarding hydrogen shortages, the company was able to limit the impact on 1Q earnings through usage reduction measures and the utilization of inventory. It expects a slight impact from hydrogen procurement to remain in 2Q.

As to fiber, in addition to external procurement from multiple suppliers, the company diversified its procurement methods, such as procuring in the form of small-diameter optical cables. The situation regarding fiber shortages remains unchanged. Reliance on external procurement will remain until the new plant starts up.

Full-year sales/operating profit guidance for the segment was raised from ¥938.3 bn/¥284.3 bn to ¥1,194.2 bn/¥401.8 bn.

Power systems: 1Q sales/operating profits came to ¥43.6 bn/¥5.3 bn (GSe ¥32.0 bn/¥1.9 bn).

Sales and profits increased thanks to Fujikura winning high-margin projects and improvement in selling prices.

Full-year sales/operating profit guidance for the segment was raised from ¥151.7 bn/¥10.2 bn to ¥177.0 bn/¥14.8 bn.

Electronics: 1Q sales/operating profits finished at ¥35.3 bn/¥0.4 bn (GSe ¥40.7 bn/¥1.6 bn).

In products for smartphones, the company cited changes in the product mix, soaring material costs (gold and silver paste), and intensified competition. On the other hand, HDDs were solid due to expanding demand for data centers.

Full-year sales/operating profit guidance was revised from ¥171.8 bn/¥9.2 bn to ¥171.0 bn/¥10.7 bn.

Automotive products: 1Q sales/operating profits were ¥55.0 bn/¥1.2 bn (GSe ¥42.8 bn/¥1.1 bn).

Sales increased mainly on higher production in Europe. The company continued productivity and profitability improvement measures associated with the launch of new vehicle models. While new vehicle model launches are progressing smoothly, the company was unable to fully pass on higher copper prices in North America during the period, negatively impacting profitability.

Full-year sales/operating profit guidance for the segment was revised from ¥183.5

bn/¥5.9 bn to ¥196.1 bn/¥4.2 bn.

FY3/27 company-wide guidance

- **Full-year sales/operating profit guidance** was raised from ¥1.462 tn/¥310.0 bn to ¥1.755 tn/¥432.0 bn (Operating profit margin: 21.2% -> 24.6%)
- **1H sales/operating profit guidance** was raised from ¥778.0 bn/¥174.0 bn to ¥821.0 bn/¥198.0 bn (Operating profit margin: 22.4% -> 24.1%)
- **2H sales/operating profit guidance** was lifted from ¥684.0 bn/¥136.0 bn to ¥934.0 bn/¥234.0 bn (Operating profit margin: 19.9% -> 25.1%)

Tariffs

IEEPA tariff refunds of ¥6.2 bn are factored into 1H guidance (1Q refund amount was ¥3.8 bn). The impact of new tariffs based on Section 301 of the Trade Act (recognized as 12.5%) is also factored in.

Dividend

The dividend plan for FY3/27 is ¥311/share, up ¥88/share yoy, for a dividend payout ratio of 40.1%.

Our estimates

Reflecting 1Q results, we hike our operating profit estimate for FY3/27 by 31%, revising up our forecasts mainly for telecommunication systems but also for power systems. Given the uncertainty over the continuity of large-scale projects in telecommunication systems from FY3/28 onward, we raise our FY3/28-FY3/29 estimates by just 2%/2%.

Exhibit 1: Fujikura earnings summary

(JPY mn)	FY27/3 1Q		FY27/3		
	GSE	Actual	GSE		CoE
			Old	New	
Sales	365,500	402,009	1,587,600	1,761,200	1,755,000
Operating profit	79,624	104,828	342,838	448,973	432,000
Net income	62,219	80,435	266,506	351,414	326,000

Source: Company data, Goldman Sachs Global Investment Research

Investment Thesis - Fujikura

Fujikura has implemented business reforms and adopted a more selective/concentrated business approach, focusing on the telecommunications business (optical fiber cables/optical connectors) as its key growth driver post booking substantial net losses in FY3/20. In the telecommunications business, Fujikura has downsized its base material/cables business as a result of past losses, and is now building around differentiating ultra-high-density fiber optic cable (SWR/WTC) products and multi-core optical connectors. The company's optical fiber cable applications are not only progressing on supplying products to hyperscalers for data center applications, but also on widening sales, notably to telecom carriers and rail companies in Europe. Also, its multi-core optical connectors that enable compact high-density wiring in server racks are being more widely adopted by US hyperscalers on the back of higher demand from

AI data centers. These products also have high margins. We see investment in data centers continuing over the longer term, and expect continuous demand growth for the company's highly competitive optical products. We are Buy rated in light of these factors and on prospects of Fujikura's telecommunications business growing at a faster rate than the industry as a whole.

Price Target Risks and Methodology - Fujikura

We are Buy rated. Our 12-month price target of ¥7,600 is based on an EV/EBITDA of 25.0X (FY3/28E; multiple based on the EV/EBITDA and EBITDA margin correlation across its domestic and global competitors). Downside risks: **Telecommunications:** A delay in benefits from hyperscaler investment, a prolonged restraint in telecom carrier investment, and competitors in ultra-high-density optical fiber cables catching up with Fujikura. **Electronics:** A greater-than-expected slowdown in the smartphone market and/or more intense competition. **Automotive products:** Automobile production volume undershooting our assumptions. **Companywide:** Forex swings.

Disclosure Appendix

Reg AC

We, Ryo Harada and Hiroki Muramatsu, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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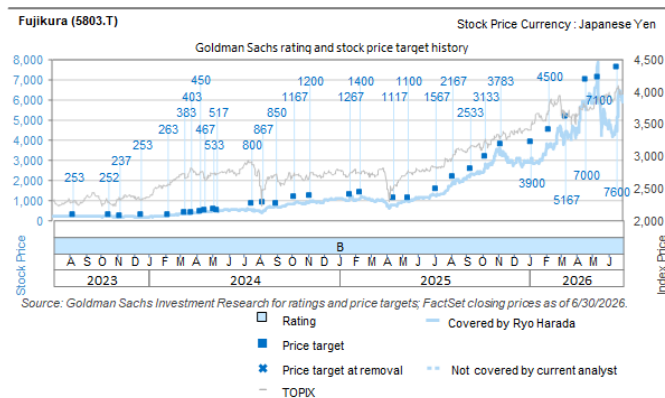
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	Rating Distribution			Investment Banking Relationships		
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Global	50%	34%	16%	65%	59%	43%

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Price target and rating history chart(s)



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Target price history table(s)

Fujikura (5803.T)

Date of report Target price (¥) Closing price (¥)

07-Aug-26	7,600	5,185
07-Jul-26	7,500	5,072
18-Jun-26	7,600	4,461
14-May-26	7,100	6,355
20-Apr-26	7,000	5,529
13-Mar-26	31,000	4,420
09-Feb-26	27,000	3,659
05-Jan-26	23,400	3,074
07-Nov-25	22,700	3,403
09-Oct-25	18,800	2,798
10-Sep-25	15,200	2,272
07-Aug-25	13,000	1,918
07-Jul-25	9,400	1,235
13-May-25	6,600	957
16-Apr-25	6,700	761
10-Feb-25	8,400	1,113
22-Jan-25	7,600	1,157
07-Nov-24	7,200	968
07-Oct-24	7,000	831
02-Sep-24	5,100	736
08-Aug-24	5,200	423
18-Jul-24	4,800	518
13-May-24	3,100	474
06-May-24	3,200	463
18-Apr-24	2,800	444
09-Apr-24	2,700	422
24-Mar-24	2,420	358
12-Mar-24	2,300	316
08-Feb-24	1,580	210
19-Dec-23	1,520	174
08-Nov-23	1,420	192
17-Oct-23	1,510	200
10-Aug-23	1,520	191

Price targets shown in table(s) are unadjusted for corporate actions.

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